credit side of the respective personal account of the creditor by entering the words 'By Purchases account'.

Step 2: **Posting to purchases account:** Generally, at the end of the month, the purchases book is totalled. The monthly total of purchases is posted to the debit side of purchases account by writing the words 'To Sundry creditors A/c'.

Illustration 2

From the following transactions of Ram Home Appliances for July, 2017 prepare purchases book and ledger accounts connected with this book:

2017 July 5 Purchased on credit from Kannan & Co.
50 iron boxes @ ₹ 500 each
10 grinders @ ₹ 3,000 each

July 6 Purchased for cash from Siva & Bros.
25 fans @ ₹ 1,250 each

July 10 Purchased from Balan & Co. on credit
20 grinders @ ₹ 2,500 each
10 mixies @ ₹ 3,000 each
Trade discount 10%
Delivery charges ₹ 1,000

July 20 Purchased on credit, one copier machine from Kumar for ₹ 35,000

Solution

In the books of Ram Home Appliances
Purchases book

Date	Particulars	Invoice No.	L.F.	Amount ₹	
				Details	Total
2017					
July 5	**Kannan & Co.**				
	50 iron boxes @ ₹ 500			25,000	
	10 grinders @ ₹ 3,000			30,000	55,000
July 10	**Balan & Co.**				
	20 grinders @ ₹ 2,500			50,000	
	10 Mixies @ ₹ 3,000			30,000	
				80,000	
	Less: Trade discount 10%			8,000	
				72,000	
	Add: Delivery charges			1,000	73,000
	Purchases A/c Dr.				1,28,000

Ledger Accounts

Dr. **Purchases A/c** **Cr.**

Date	Particulars	J.F.	Amount ₹	Date	Particulars	J.F.	Amount ₹
2017							
July 31	To Sundry creditors		1,28,000				

Accountancy - Unit-06.indd 105 12/12/2021 6:15:43 PM